

PERSONAL FINANCE 148



Worth, wealth, and income 150

Calculating and analyzing net worth	152
Income and wealth	154
Converting income into wealth	156
Generating income	158
Generating wealth	160



Investments for income 162

Dividends from shares	164
Earning income from savings	166
Investing in managed funds	168
Rental income from property	170
Life assurance	172



Wealth-building investments 174

Investing in property	176
Home equity	180
Shares	182
Managed funds	184



Managing investments 186

Asset allocation and diversification	188
Dollar cost averaging	190
Risk tolerance	192
The optimal portfolio	194



Pensions and retirement 196

Saving and investing for a pension	198
Converting pensions into income	202



Debt 204

Why we use debt	206
Interest and compound interest	208
Loans	210
Mortgages	212
Credit unions	216
Credit cards	218



Money in the digital age 220

Cryptocurrency	222
Bitcoin	224
Crowdfunding	226
Peer-to-peer lending	228

Money in the US 230

Index 248

Acknowledgments 256



James Meadway is an economist and policy advisor who has worked at the New Economics Foundation—an independent British think tank—the UK Treasury, the Royal Society, and for the Shadow Chancellor of the Exchequer.

Philip Parker is a historian and former British diplomat and publisher, who studied at the Johns Hopkins School of Advanced International Studies. A critically acclaimed author, he has written books that focus on the history of world trade.

Alexandra Black studied business communications before writing for financial newspaper group Nikkei Inc. in Japan and working as an editor at investment bank JP Morgan. She has written numerous books and articles on subjects as diverse as finance, business, technology, and fashion.